

# R-02 — Walkthrough

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · Manual journals approved before posting

|                    |                                                                                   |
|--------------------|-----------------------------------------------------------------------------------|
| Control            | Manual journals approved before posting (R-02)                                    |
| Sub-process        | Reconciliations                                                                   |
| Nature / frequency | Automated · Recurring                                                             |
| Risk addressed     | Unsupported or unauthorised journals and accruals misstate the ledger.            |
| Walked on          | 2026-03-11                                                                        |
| Performed by       | A. Jain, Audit Senior                                                             |
| Attended by        | Reconciliations lead, Financial Controller                                        |
| Transaction walked | Journal JV-26-04417 · Revenue accrual reversal · INR 63.4 lakh · 12 February 2026 |

## What we did

We selected one manual journal from the period and followed it from entry through workflow approval to posting, observing the control operate and inspecting the evidence it leaves at each point. The journal walked was JV-26-04417, a revenue accrual reversal of INR 63.4 lakh entered on 12 February 2026 by the revenue accountant and posted the same day after approval.

## What we observed, against each design check

### 1. Control addresses the stated risk and assertion.

The workflow block is the control the risk register names against R-50 — unsupported or unauthorised journals misstating the ledger. We traced it to that risk and to the accuracy and occurrence assertions. A manual journal entered in SAP is parked, not posted; the document cannot reach the ledger until the approval step completes, which is how the control comes to address the risk of an entry reaching the books with nobody but its author behind it.

Conclusion: operating as designed

### 2. Control operates at sufficient precision.

Approval is routed by value against the delegation of authority, and the routing limit is configured rather than judged: journals up to INR 25 lakh route to the Financial Controller, above that to the Finance Director. The threshold is held in the workflow configuration and changes to it are under change control. We confirmed JV-26-04417 at INR 63.4 lakh routed to the Finance Director, as the configured limit requires.

Conclusion: operating as designed

### 3. Performed as described for each sampled item — designed to happen, at per item.

The approver is independent of the preparer. The workflow will not route a document back to its own author — the rule is enforced in configuration, not by convention, so a journal cannot be approved by the person who keyed it and the step cannot be bypassed. We attempted to re-route the walked document to its preparer in the test client and the workflow refused it.

Conclusion: operating as designed

### 4. Exceptions handled per policy — designed to happen, at per exception.

The operation of the control is evidenced and retained. Every parked document carries the SAP workflow log: who entered it, who approved it, the timestamp of each step, and the supporting attachment. We inspected the audit trail for JV-26-04417 and it showed entry at 09:41, approval at 14:02 by the Finance Director, and posting at 14:02. The log is retained for the full period and cannot be edited by finance users.

Conclusion: operating as designed

## Items inspected

| Journal     | Posted | Description               | Value (INR lakh) | Entered by          | Approved by          | Routing |
|-------------|--------|---------------------------|------------------|---------------------|----------------------|---------|
| JV-26-04417 | 12 Feb | Revenue accrual reversal  | 63.4             | Revenue...          | Finance Director     | > 25L   |
| JV-26-04402 | 10 Feb | Fuel accrual — Feb        | 18.9             | GL accountant       | Financial Controller | "d 25L  |
| JV-26-04388 | 06 Feb | Reclass — ground handling | 7.2              | GL accountant       | Financial Controller | "d 25L  |
| JV-26-04361 | 31 Jan | Lease interest accrual    | 141.7            | Treasury accountant | Finance Director     | > 25L   |
| JV-26-04350 | 29 Jan | Payroll accrual true-up   | 22.5             | Payroll accountant  | Financial Controller | "d 25L  |

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## Conclusion

The control is designed effectively to address the risk recorded against it. The walkthrough confirmed that each design check operates as described, that the control runs at a precision capable of catching a material error, that it is performed independently of the activity it c

ontrols, and that it leaves an audit trail sufficient for a reviewer to establish that it ran.

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